Three Mistakes Families Make When They're Paying for Mom's Care and Wondering What Has to Be Spent

What each one looks like, why it happens, and the habit that helps.

Most families paying for a parent's care start from the same three assumptions. Every one of them is understandable, none of them means anyone has done anything wrong, and the same habit helps with all three.

1 Paying month to month without the picture on paper

WHAT IT LOOKS LIKE The bill comes, and it gets paid from whichever of Mom's accounts has the money in it. Ask what care costs and you can answer, more or less. Ask what comes in each month, or which account has been covering the difference since spring, and it depends who you ask.

WHY IT HAPPENS The bill has a due date and the picture doesn't. Paying out of pocket is also simply how this usually begins: Medicare.gov says most people who enter nursing homes start by paying for their care that way. [1]

> **WHAT TO DO INSTEAD** Put three lines on one page: what care costs each month, what comes in, and which account pays the difference. Keep the bills and receipts with it. The Consumer Financial Protection Bureau's guide for people who manage someone else's money says to keep a detailed list of everything received and spent. What the numbers mean, and how long Mom's money may last, are questions to bring to your Medicaid planner. [2]

2 Treating “it all has to be spent first” as settled

WHAT IT LOOKS LIKE Someone says it at the kitchen table or over the phone, and it sounds like a fact. After that the family plans around it. Nobody asks, because there doesn't seem to be anything to ask.

WHY IT HAPPENS It was said with confidence, and nobody offered another rule. But the public sources don't describe one rule for every family. The Administration for Community Living says that when a state looks at a person's assets, some are counted and others are excluded, and Medicare.gov says Medicaid programs vary from state to state. [3] [1]

> **WHAT TO DO INSTEAD** Turn it back into the question it started as: do we really have to spend all of Mom's money? Write down what you were told and who said it, and bring it to your Medicaid planner, who can look at how the rules in Mom's state may apply to what she owns. Until then, treat it as a question.

3 Assuming it's up to you to know which moves are safe

WHAT IT LOOKS LIKE You don't know which actions could cause a problem with Medicaid, so every money decision feels risky. The check to repay your brother stays unwritten. The car nobody drives sits in the driveway. Someone mentioned a financial product, and no one knows who to ask about it. Each decision waits in somebody's head.

WHY IT HAPPENS Nobody has told you who would know, so it feels as if the family has to work it out alone. That isn't a fair thing to ask of a family. The Administration for Community Living says the assessment of a person's assets "can be fairly complex, depending on how much and what kind of assets you have." [3]

> **WHAT TO DO INSTEAD** Make one list of every money decision, made or being talked about: a gift, a repayment, a sale, a new name on an account, a product. Put the date and a question beside each one, and ask before acting. On this roadmap, your Medicaid planner reviews how Medicaid rules may apply to a proposed financial action before it is taken. Anything that needs legal review goes to an elder law attorney, and an insurance or financial product to a licensed insurance or financial professional. The Consumer Financial Protection Bureau's guide says much the same: get legal advice and be very careful about decisions that may affect Medicaid eligibility. [2]

The one habit behind all three

Write it down, turn it into a question, and ask before anyone acts on it.

What this guide doesn't do

It doesn't say what has to be spent, which moves are allowed, or what your family should do with Mom's money, and nothing in it is legal, financial or tax advice. It names three assumptions, the same three the Medicaid Planning Roadmap sees at this step.

Ready for the next step?

You know which assumptions to turn into questions. The planning interview gives those questions somewhere to go: it asks about your family's situation and gives you a free planning report you can bring to your Medicaid planner, or to any other conversation about paying for care.

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WHERE THIS COMES FROM

The statements about how nursing home care is usually first paid for, about some assets being counted and others excluded, and about Medicaid varying from state to state come from the sources below, as does the advice on keeping records and getting legal advice first. The three mistakes are the Medicaid Planning Roadmap's own.

1. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
2. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney
3. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility

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